

Annexure-2

(see rule 16)

Operational Certification Procedures

1. Definitions.- For the purposes of this Annex,-

(a) **“competent governmental authority”** means the authority that, according to the legislation of each Party, is responsible for the issuing of a certificate of origin, for the designation of certification entities or bodies, or, for taking appropriate measures when necessary in relation to the issuance of a certificate of origin which in case of Japan, is the Ministry of Economy, Trade and Industry, and in case of the Republic of India, is Department of Commerce, Ministry of Commerce and Industry; and

(b) **“preferential tariff treatment”** means the rate of customs duties applicable to an originating good of the exporting Party in accordance with paragraph 1 of Article 19 of the Comprehensive Economic Partnership Agreement between the Republic of India and Japan signed on the 16th day of February, 2011.

2. Claim for preferential tariff treatment.- (1) For the purposes of claiming the preferential tariff treatment for an originating good of the exporting Party, a certificate of origin shall be submitted to the customs authority of the importing Party by the importer, together with the documents required for the importation of the good in accordance with the laws and regulations of the importing Party.

(2) Notwithstanding anything contained in sub-paragraph (1), the importing Party may waive the requirement for a certificate of origin in accordance with its laws and regulations.

(3) Where an originating good of the exporting Party is imported through one or more non-Parties as provided for in rule 10, the customs authority of the importing Party may require the importer, who claims the preferential tariff treatment for the good, to submit,-

(a) a copy of through bill of lading indicating the port of exportation and importation; or

(b) a certificate or any other information given by the customs authorities of such non-Parties or other relevant entities, which evidences that the good has not undergone operations other than unloading, re-loading and any other operation to preserve it in good condition in those non-Parties.

Provided that the customs authority of the importing Party may require the importer to submit documents provided for in clause (b) of sub-paragraph (3) in addition to a copy of through bill of lading provided for in clause (a) of sub-paragraph (3) in accordance with the provisions of paragraph 13 of **Appendix-A** to this Annexure.

3. Issuance of certificate of origin. – (1) A certificate of origin referred to in sub-paragraph (1) of paragraph 2 shall be issued by the competent governmental authority of the exporting Party on request having been made in writing by the exporter or its authorized agent.

(2) For the purposes of this paragraph, the competent governmental authority of the exporting Party may designate other entities or bodies for the issuance of certificate of origin, under the authorisation given in accordance with the applicable laws and regulations of the exporting Party.

(3) Where the competent governmental authority of the exporting Party designates other entities or bodies to carry out the issuance of certificate of origin, the exporting Party shall notify in writing the other Party of its designees.

- (4) For the purposes of this Annexure, the certificate of origin shall be issued in the format provided in **Appendix-B** to this Annexure in the English language.
- (5) A certificate of origin shall be completed in the English language.
- (6) Where the exporter of a good is not the producer of the good in the exporting Party, the exporter may request a certificate of origin on the basis of,-
 - (a) a declaration provided by the exporter to the competent governmental authority of the exporting Party or its designees based on the information provided by the producer of the good to that exporter; or
 - (b) a declaration voluntarily provided by the producer of the good directly to the competent governmental authority of the exporting Party or its designees by the request of the exporter.
- (7) A certificate of origin shall be issued only after the exporter who requests the certificate of origin, or the producer of a good in the exporting Party referred to in clause (b) of sub-paragraph (6), proves to the competent governmental authority of the exporting Party or its designees that the good to be exported qualifies as an originating good of the exporting Party.
- (8) The competent governmental authority of the exporting Party shall provide the importing Party with specimen signatures and impressions of stamps used in the offices of the competent governmental authority or its designees, upon entry into force of this Agreement and their modification thereafter.
- (9) Each Party shall, in accordance with its laws and regulations, ensure that the exporter to whom a certificate of origin has been issued, or the producer of a good in the exporting Party referred to in clause (b) of sub-paragraph (6), shall notify in writing the competent governmental authority of the exporting Party or its designees without delay when such exporter or producer knows that such good does not qualify as an originating good of the exporting Party.
- (10) The competent governmental authority of the exporting Party shall, when it cancels the decision to issue the certificate of origin, promptly notify the cancellation to the exporter to whom the certificate of origin has been issued, and to the customs authority of the importing Party, except where the original certificate has been returned to the competent governmental authority.

4. Validity of certificate of origin.- A certificate of origin issued under paragraph 3 shall be applicable to a single importation of originating goods of the exporting Party into the importing Party and shall be valid for twelve months from the date of issuance:

Provided that a certificate of origin submitted to the customs authority of the importing Party after the expiration of its validity as a result of *force majeure* shall be accepted.

5. Record keeping. – (1) Each Party shall ensure that the competent governmental authority of the Party or its designees shall keep a record of the certificates of origin issued under paragraph 3 for a period of five years after the date on which the certificate was issued including all antecedents, which were presented to prove the qualification as an originating good of the exporting Party.

(2) Each Party shall, in accordance with its laws and regulations, ensure that the exporter to whom a certificate of origin has been issued, or the producer of a good in the exporting Party referred to in clause (b) of sub-paragraph (6) of paragraph 3 shall keep the records relating to the origin of the good for five years after the date on which the certificate of origin was issued.

6. Request for checking of certificate of origin.- (1) For the purposes of determining whether a good imported from the exporting Party under preferential tariff treatment qualifies as an originating good of the exporting Party, the customs authority of the importing Party may request information relating to the

origin of the good from the competent governmental authority of the exporting Party on the basis of the certificate of origin.

(2) For the purposes of sub-paragraph (1), the competent governmental authority of the exporting Party shall, in accordance with the laws and regulations of the Party, provide the requested information in a period not exceeding three months after the date of receipt of the request:

Provided that if the customs authority of the importing Party considers necessary, it may require additional information relating to the origin of the good:

Provided further that if additional information is requested by the customs authority of the importing Party, the competent governmental authority of the exporting Party shall, in accordance with the laws and regulations of the exporting Party, provide the requested information in a period not exceeding two months after the date of receipt of the request.

(3) For the purposes of sub-paragraph (2), the competent governmental authority of the exporting Party may request the exporter to whom the certificate of origin has been issued, or the producer of the good in the exporting Party referred to in clause (b) of sub-paragraph (6) of paragraph 3, to provide the former with the requested information.

(4) The request of information under sub-paragraph (1), shall not be treated as exemption from verification provided for in paragraph 7.

(5) During the procedures provided for in this paragraph and paragraph 7, the customs authority of the importing Party may suspend the preferential tariff treatment while awaiting the result of verification:

Provided that customs authority of the importing Party may release the good to the importer before the completion of procedure in accordance with its laws and regulations.

7. Verification visit.- (1) If the customs authority of the importing Party is not satisfied with the outcome of the request for checking made pursuant to paragraph 6, it may request the exporting Party,-

(a) to collect and provide information relating to the origin of a good and check, for that purpose, the facilities used in the production of the good, through a visit by the competent governmental authority of the exporting Party along with the customs authority of the importing Party to the premises of the exporter to whom the certificate of origin has been issued, or the producer of the good in the exporting Party referred to in clause (b) of sub-paragraph (6) of paragraph 3; and

(b) to provide information relating to the origin of the good in the possession of the competent governmental authority of the exporting Party or its designees during or after the visit pursuant to clause (a).

(2) While requesting the exporting Party to conduct a visit pursuant to sub-paragraph (1), the customs authority of the importing Party shall deliver a written request to the exporting Party at least sixty days in advance of the proposed date of the visit, the receipt of which is to be confirmed by the exporting Party:

Provided that the competent governmental authority of the exporting Party shall request the written consent of the exporter, or the producer of the good in the exporting Party, whose premises are to be visited.

(3) The written request referred to in sub-paragraph (2) shall include,-

(a) the identity of the customs authority of the importing Party issuing the communication;

- (b) the name of the exporter, or the producer of the good in the exporting Party, whose premises are requested to be visited;
 - (c) the proposed date and place of the visit;
 - (d) the objective and scope of the proposed visit, including specific reference to the good subject to verification referred to in the certificate of origin; and
 - (e) the names and titles of the officials of the customs authority of the importing Party to be present during the visit.
- (4) The exporting Party shall respond in writing to the importing Party, within thirty days of the receipt of the written request referred to in sub-paragraph (2), whether it accepts or refuses to conduct the visit requested pursuant to sub-paragraph (1).
- (5) The competent governmental authority of the exporting Party shall, in accordance with the laws and regulations of the Party, provide within forty five days or any other mutually agreed period from the last day of the visit, to the customs authority of the importing Party the information obtained pursuant to sub-paragraph (1).

8. Determination of origin and preferential tariff treatment.- (1) The customs authority of the importing Party may deny preferential tariff treatment to a good for which an importer claims preferential tariff treatment where the good does not qualify as an originating good of the exporting Party or where the importer fails to comply with any of the relevant requirements of this Annexure.

(2) The customs authority of the importing Party may determine that a good does not qualify as an originating good of the exporting Party and may deny preferential tariff treatment, and a written determination thereof shall be sent to the competent governmental authority of the exporting Party,-

- (a) where the competent governmental authority of the exporting Party fails to provide the information within the period referred to in sub-paragraph (2) of paragraph 6 or sub-paragraph (5) of paragraph 7;
- (b) where the exporting Party refuses to conduct a visit, or that Party fails to respond to the communication referred to in sub-paragraph (2) of paragraph 7 within the period referred to in sub-paragraph (4) of paragraph 7; or
- (c) where the information provided to the customs authority of the importing Party pursuant to paragraph 6 or paragraph 7, is not sufficient to prove that the good qualifies as an originating good of the exporting Party.

(3) After carrying out the procedures outlined in paragraph 6 or paragraph 7 as the case may be, the customs authority of the importing Party shall provide the competent governmental authority of the exporting Party with a written determination of whether or not the good qualifies as an originating good of the exporting Party, including findings of fact and the legal basis for the determination:

Provided that the competent governmental authority of the exporting Party shall inform such determination by the customs authority of the importing Party to the exporter, or the producer of the good in the exporting Party, whose premises were subject of the visit referred to in paragraph 7.

10. Penalties and measures against fraudulent acts.- Each Party shall establish or maintain, in accordance with its laws and regulations, appropriate penalties or other measures against its exporters to whom a certificate of origin has been issued and the producers of a good in the exporting Party referred to in clause (b) of sub-paragraph (6) of paragraph 3 who have committed fraudulent acts in connection with a certificate of origin, including submission of false declarations or documents to its competent governmental authority of the exporting Party or its designees.

11. Implementing procedures.- The Implementing procedures for implementation of this Annexure is enclosed as **Appendix-A**.

Appendix-A to Annexure-2

Implementing Procedures

(refer to paragraph 11 of Annexure-2)

I. Certificate of origin

1. Document.-

- (a) A certificate of origin should be on ISO A4 size paper in conformity with the format shown in **Appendix-B** to Annexure-2:

Provided that it should be completed in the English language failing which it shall not be valid.

- (b) The tariff classification numbers of the Harmonized System (HS), as amended on January 1, 2007, should be indicated on a certificate of origin at the six-digit level, and the description of the good on a certificate of origin should be substantially identical to the description on the invoice and, if possible, to the description under the HS for the good.
- (c) A certificate of origin shall comprise of the original and three copies in case of India, and only the original in case of Japan.
- (d) In cases where a certificate of origin is not accepted by the customs authority of the importing Party, the customs authority of the importing Party should notify the reasons therefor to the importer of the good.

2. Application.-

An application for a certificate of origin should be made by the exporter or its authorised agent, to the competent governmental authority of the exporting Party or its designees, together with appropriate supporting documents proving that the good to be exported qualifies as an originating good of the exporting Party:

Provided that the exporter's or its authorised agent's signature may be autographed or electronically printed.

3. Issuance.-

- (a) a certificate of origin should be issued not later than three days from the date of shipment.
- (b) in exceptional cases where the certificate of origin has not been issued before the time limit provided for in clause (a) at the request of the exporter or its authorised agent, the certificate of origin may be issued retroactively in accordance with the laws and regulations of the exporting Party within ¹[twelve months] from the date of shipment, in which case it is necessary to indicate "ISSUED RETROACTIVELY" in Box 8 of the certificate of origin specified in **Appendix-B** to Annexure-2:

Provided that in such cases, the importer of the good who claims the preferential tariff treatment for the good may, subject to the laws and regulations of the importing Party, provide the customs authority of the importing Party with the certificate of origin issued retroactively:

Provided further that the certificate of origin issued retroactively should indicate the date of shipment in Box 3 in **Appendix-B** to Annexure-2.

- (c) where an importer of an originating good at the time of importation does not have in his possession a certificate of origin, the importer may, in accordance with the laws and regulations of the importing Party, apply for a refund of any excess customs duties paid or deposit imposed as a result of the goods not having been granted preferential tariff treatment, on presentation to the customs authority of the importing Party the certificate of origin issued in accordance with paragraph 3 of Annexure 2 and, if required, such other documentation relating to the importation of the good.
- (d) signatures on a certificate of origin of the representatives of the competent governmental authority of the exporting Party or its designees may be autographed or electronically printed.
- (e) every certificate of origin should bear a certification number given by the competent governmental authority of the exporting Party or its designees and the same certification number shall not be used again in issuing another certificate of origin.
- (f) in the event of theft, loss or destruction of the original certificate of origin before the expiration of its validity, the exporter or its authorised agent may request the competent governmental authority of the exporting Party or its designees to issue a new certificate of origin with a new certification number on the basis of the export documents in their possession, in which case the original certificate of origin should be invalidated:

Provided that the new certificate should bear in Box 8 of Appendix-B to Annexure-2 the words "CERTIFIED TRUE COPY":

Provided further that the date of issuance and the certification number of the original certificate of origin should be indicated in the new certificate of origin:

Provided that the new certificate of origin shall be valid during the original term of the validity of the original certificate of origin.

4. Modification.-

- (a) the exporter or its authorised agent should request the reissuance of a certificate of origin if a certificate of origin contains incorrect information, and the invalidation of the original certificate.
- (b) notwithstanding anything contained in clause (a), the competent governmental authority of the exporting Party or its designees may, in response to the request for reissuance referred to in clause (a) or at their own initiative, make modification on the certificate of origin by striking out errors and making any addition required:

Provided that such modification should be certified by authorised signature and seal of the competent governmental authority of the exporting Party or its designees.

- (c) erasures, superimpositions and modifications other than those referred to in clause (b) shall not be allowed on the certificate of origin issued under paragraph 3 of Annexure-2.

5. Minor errors.-

The customs authority of the importing Party shall disregard minor errors, such as slight discrepancies or omissions, typing errors or overrunning the margin of the designated field, subject to the condition that these minor errors do not affect the authenticity of the certificate of origin or the accuracy of the information included in the certificate of origin.

6. Two or more invoices.-

For the purposes of paragraph 4 of Annexure-2, a certificate of origin, in which numbers and dates of two or more invoices issued for a single shipment are indicated, shall be accepted by the customs authority of the importing Party.

7. Invoice of a non-Party.-

The customs authority of the importing Party shall not refuse to accept a certificate of origin only for the reason that the invoice is issued by either a natural person or a juridical person located in a non-Party.

8. A certificate of origin, containing description of goods which is not subject to preferential tariff treatment.- In cases where some goods not subject to preferential tariff treatment are described in a certificate of origin together with other goods subject to preferential tariff treatment, the certificate of origin is valid only for the goods subject to preferential tariff treatment.

II. Administration and Enforcement

9. Focal points of administrative offices.-

- (a) the focal point of the competent governmental authority of the exporting Party is, -
 - (i) in case of India, Department of Commerce, Ministry of Commerce and Industry; and
 - (ii) in case of Japan, the Origin Certification Policy Office of the Trade Administration Division of the Trade and Economic Co-operation Bureau of the Ministry of Economy, Trade and Industry.
- (b) The focal point of the customs authority of the importing Party is,-
 - (i) in case of India, the Central Board of Excise and Customs of the Department of Revenue, Ministry of Finance; and
 - (ii) in case of Japan, the Customs and Tariff Bureau of the Ministry of Finance.
- (c) Both Parties should provide each other with the address, phone number, fax number and email address of the focal points referred to in clause (a) and (b) and should notify any modification regarding such information within thirty days after such modification.

10. Procedure to exchange the sample of a certificate of origin, specimen signatures and impressions of stamps.-

The Parties shall provide each other with the sample of a certificate of origin, specimen signatures and impressions of stamps used for the issuance of a certificate of origin as well as upon their modification thereafter.

11. Communication.-

- (a) For the purposes of paragraphs 6,7 and 8 of Annexure-2, any communication between the competent governmental authority of the exporting Party and the customs authority of the importing Party should be made through the Embassy of India in Japan or the Embassy of Japan in India:

Provided that such communications should be made by any method with a confirmation of receipt.

- (b) the direct communications between the competent governmental authority of the exporting Party and the customs authority of the importing Party may be made by facsimile or e-mail in parallel with the communications set out in clause (a).
- (c) the period for providing the response pursuant to sub-paragraph (2) of paragraph 6 and subparagraph (4) of paragraph 7 of Annexure-2 should commence from the date of the confirmation of receipt of the request pursuant to clause (a).

12. Goods in transit or storage.- Preferential tariff treatment for the originating goods, which are in transit from the exporting Party to the importing Party or in temporary storage in bonded area in the importing Party on the date of entry into force of the Agreement, should be accorded subject to the submission of a certificate of origin issued retroactively to the customs authority of the importing Party in accordance with its laws and regulations.

13. Documents required by the customs authority under proviso to sub-paragraph (3) of paragraph 2 of Annexure-2.- In fulfillment of the consignment criteria stipulated in rule 10, the customs authority of the importing Party may require the importer to submit document(s) provided for in clause (b) of sub-paragraph (3) of paragraph 2 of Annexure-2, even when a copy of through bill of lading provided for in clause (a) of sub-paragraph (3) of paragraph 2 of Annexure-2 has already been submitted, under circumstances such as listed below,-

- (a) where the container has been opened;
- (b) where the seal number of container has been changed; (c) where the container number has been changed; (d) where the package has been opened.

Appendix-B to Annexure-2

[refer to sub-paragraph (4) of paragraph 3 of Annexure-2]

1. Exporter's Name, Address and Country:	Certification No.	Number of page /
2. Importer's Name, Address and Country:	COMPREHENSIVE ECONOMIC PARTNERSHIP AGREEMENT BETWEEN THE REPUBLIC OF INDIA AND JAPAN CERTIFICATE OF ORIGIN Issued in	
3. Transport details (means and route)(as far as known)		

4. Item number (as necessary); Marks and numbers; Number and kind of packages; Description of good(s); HS tariff classification number	5. Preference criterion	6. Quantity	7. Invoice number(s) and date(s)
8. Remarks: ☐ Third Country Invoicing ☐ ISSUED RETROACTIVELY			
9. Declaration by the exporter: I, the undersigned, declare that: - the above details and statement are true and accurate. - the good(s) described above meet the condition(s) required for the issuance of this certificate;	10. Certification It is hereby certified, on the basis of control carried out, that the declaration by the exporter is correct.		
- the country of origin of the good(s) described above is Place and Date: Signature: Name (printed): Company:	Competent governmental authority or Designee office: Stamp Place and Date: Signature:		

Overleaf notes

Parties which accept this form for the purpose of preferential treatment under the Comprehensive Economic Partnership Agreement between the Republic of India and Japan are India and Japan.

1. General conditions: The conditions for the preferential tariff treatment under the Agreement are that the goods exported to India or Japan should:

- (a) fall within description of goods (including HS code) eligible for concession in India or Japan;
- (b) comply with one of the requirements in Preference Criteria below, which are set out in rule 3; and
- (c) comply with the provision of consignment criteria of rule 10.

2. Preference criteria:

- (A) The good is wholly obtained or produced entirely in the Party, as provided for in rule 4.
- (B) The good is not wholly obtained or produced in the Party, provided that the good satisfies the requirements of rule 5.

3. Instructions for certificate of origin:

- (a) For the purposes of claiming preferential tariff treatment, the document should be completed legibly and in full by the exporter or its authorised agent and certified by the competent authority or its designees. The form should be completed in the English language. The document should be rendered invalid if it is modified after the issuance except as provided in clause (b) of paragraph 4 of Appendix-A to Annexure-2.
- (b) If the space of this document is insufficient to specify the necessary particulars for identifying the goods and other related information, the exporter or its authorised agent may provide the information using additional page of this Appendix-B. In that case, every additional page of Appendix-B should be completed legibly and in full by the exporter or its authorised agent and certified by the competent authority or its designees.

- (c) **Field 1:** State the full name, address and country of the exporter.

Field 2: State the full name, address and country of the importer. As defined in clause (h) of rule 2, "importer" means a natural and juridical person who imports a good into the importing Party (e.g. the consignee who declares the importation).

Field 3: Provide the name of loading port, transit port and discharging port and, the name of vessel / flight number, as far as known. In case of retroactive issuance, the date of shipment (i.e. bill of lading or air waybill date).

Field 4: Provide item number (as necessary), marks and numbers, number and kind of packages, tariff classification number based on HS 2007 and description of each good consigned.

For each good, the HS tariff classification number should be indicated at the six-digit level.

The description of the good on a certificate of origin should be substantially identical to the description on the invoice and, if possible, to the description under the HS for the good.

Field 5: For each good, state which preference criterion (A or B under Preference Criteria referred to in paragraph 2 of the overleaf notes above) is applicable.

Note: In order to be entitled to preferential tariff treatment, each good of a Party must meet at least one of the Preference criteria given in paragraph 2 of the overleaf notes above.

Indicate “ACU” for accumulation, “DMI” for De Minimis and “FGM” for fungible goods or materials, if applicable.

Field 6: For each good, indicate the quantity (weight may be indicated as gross weight or net weight).

Field 7: Indicate the invoice number and date for each good. The invoice should be the one issued for the importation of the good into the importing Party.

If the invoice is issued by a person different from the exporter to whom the certificate of origin is issued and the person who issues the invoice is located in a non-Party, the “Third Country Invoicing” box should be ticked (✓) and the full legal name and address of the person that issues the invoice should be indicated in field 8.

In an exceptional case where the number of the invoice issued in a non-Party is not known at the time of issuance of the certificate of origin, the invoice number and the date of the invoice issued by the exporter to whom the certificate of origin is issued should be indicated in field 7. Also, the “Third Country Invoicing” box should be ticked (✓) and the full legal name and address of the person that will issue such other invoice should be indicated in field 8. In such case, the customs authority of the importing Party may require the importer to provide the invoices and any other relevant documents which confirm the transaction, from the exporting Party to the importing Party, with regard to the goods declared for import.

Field 8: If the certificate of origin is issued retroactively, the issuing authority should tick (✓) the “ISSUED RETROACTIVELY” box in field 8 and indicate the date of shipment in field 3. If the certificate of origin is newly issued in accordance with clause (f) of paragraph 3 of Appendix-A to Annexure-2, the issuing authority should indicate the words “CERTIFIED TRUE COPY”, the date of issuance and the certification number of the original certificate of origin. Other remarks as necessary.

Field 9: This field should be completed, signed and dated by the exporter or its authorised agent. The “Date” should be the date when the certificate of origin is applied for.

Note: The exporter’s or its authorised agent’s signature may be autographed or electronically printed.

Field 10: This field should be completed, dated, signed and stamped by the competent authority of the exporting Party or its designees.

Note: The competent authority’s or its designee’s signature may be autographed or electronically printed.

Notice 1. Any items entered in this form should be true and correct. False declaration or documents relating to the certificate of origin should be subject to penalty in accordance with the laws and regulations of the exporting Party.

Notice 2. The certificate of origin should be the basis of determination of origin at the customs authority of the importing Party.